

Frozen grouped factor model (OOS 2023+)

Directed factor-mimicking portfolio catalogue

Abstract

This catalogue constructs one FMP for each configured field or composite and compares all factors on one factor- and control-complete monthly window. Factors are indexed by reported raw Sharpe, highest first. Direction is frozen upstream; this report performs no return-based sign selection.

Methodology

Signals are observed at month-end, earn the next calendar month's simple return, and refresh monthly. Every factor must independently pass breadth, history, coverage, and non-degeneracy gates; none is silently dropped. One factor- and control-complete window fixes the reported Sharpe order and feeds all reported analyses. Displayed signal signs define the pre-direction composite; the reported Direction then orients the whole FMP. Risk Loadings include HAC t-statistics; Return Contributions are loading times annualized control mean, plus alpha and realized total. Rank diagnostics use 0/1/3/6/12/36-month horizons; available-history statistics are diagnostic only. Return Uncertainty uses paired circular stationary-bootstrap draws of the common monthly panel. It measures sampling and path uncertainty, not out-of-sample generalisation.

Construction Configuration

Setting	Effective value
Factors	5
Universe	shared security screen; refreshed monthly
Formation filters	price ≥ 1.0 ; 21d dollar volume $\geq$ none
Market-cap screen	top 90.0% of names monthly
Signal preparation	within-month winsorize, normalize, then demean
Composite	mean available normalized components; factor-specific coverage floor
Construction	one blanket profile
Rebalance / return	month-end / next calendar month simple return
Costs	effective configured costs; default 0 bps
Minimum sample	20 stocks/month; 24 common months; 90% factor coverage
Comparison window	2023-01-01 to 2026-05-01; factor- and control-complete
Winsor settings	1%-99%
Controls	MKT, SMB, VAL, MOM, BAB, QMJ
Return uncertainty	paired stationary bootstrap; 2000 draws; expected block 12 months; seed 0

Returns PCA

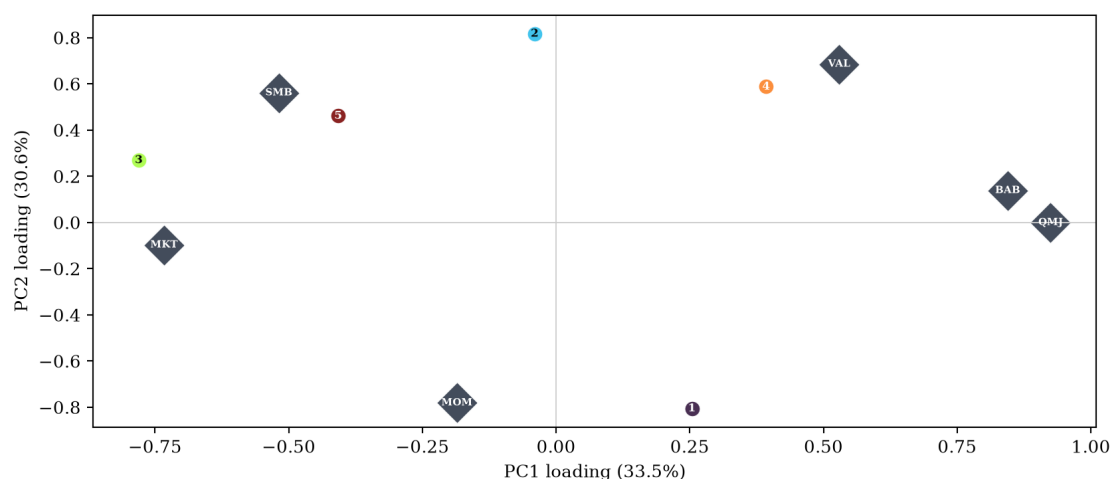


Figure: catalogue factors are numbered by reported-Sharpe index; attribution controls are named; $N=41$ common months.

Index

Idx	Factor	Dir.	N
1	Factor_3	+1	41
2	Factor_2	+1	41
3	Factor_1	+1	41
4	Factor_4	+1	41
5	Factor_5	+1	41

Returns

Factor	Ann. ret.	Ann. vol.	Sharpe	HAC t	Max DD	Style R2	Style alpha	Style vol.
Factor_3	8.48%	9.33%	0.91	2.28	-5.93%	0.683	5.34%	9.33%
Factor_2	2.40%	8.48%	0.28	0.75	-8.05%	0.597	0.50%	8.48%
Factor_1	-1.05%	10.51%	-0.10	-0.19	-25.53%	0.715	0.26%	10.51%
Factor_4	-1.77%	3.83%	-0.46	-0.94	-9.51%	0.480	-0.35%	3.83%
Factor_5	-3.07%	6.47%	-0.47	-1.01	-17.31%	0.261	-3.10%	6.47%

Return Uncertainty

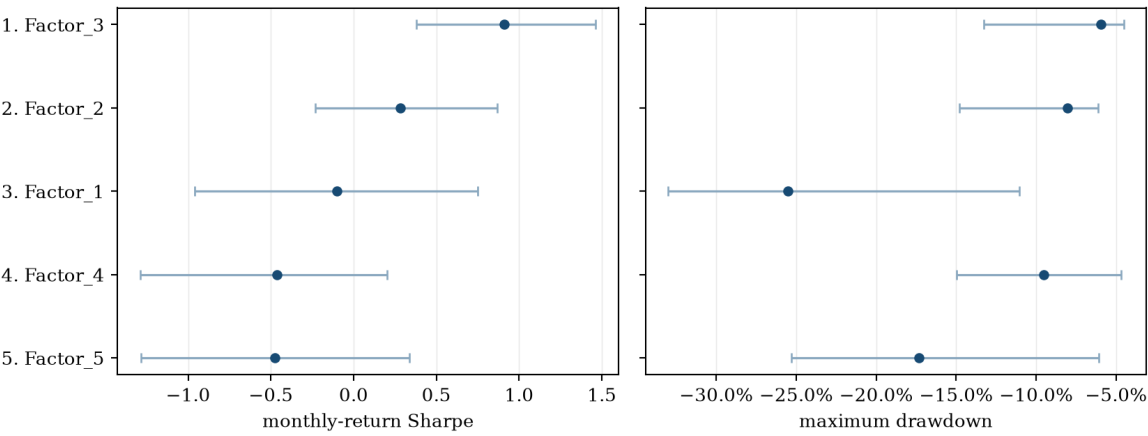


Figure: point estimates and paired stationary-bootstrap 95% intervals.

Idx	Factor	Ann. ret. [95%]	Sharpe [95%]	Pr(S<=0)	Skew [95%]	Max DD [95%]	ES 5% [95%]
1	Factor_3	8.5% [3.7%, 13.4%]	0.91 [0.38, 1.46]	0.1%	-0.06 [-0.66, 0.72]	-5.9% [-13.3%, -4.5%]	-4.3% [-6.8%, -2.3%]
2	Factor_2	2.4% [-2.1%, 7.0%]	0.28 [-0.23, 0.87]	14.3%	-0.24 [-0.69, 0.32]	-8.1% [-14.8%, -6.1%]	-4.3% [-6.1%, -3.1%]
3	Factor_1	-1.1% [-9.5%, 7.7%]	-0.10 [-0.96, 0.75]	61.3%	-0.08 [-0.54, 0.39]	-25.5% [-33.0%, -11.1%]	-5.4% [-6.0%, -4.3%]
4	Factor_4	-1.8% [-4.4%, 0.8%]	-0.46 [-1.29, 0.20]	91.8%	0.34 [-0.09, 0.86]	-9.5% [-15.0%, -4.7%]	-2.0% [-2.5%, -1.6%]
5	Factor_5	-3.1% [-7.8%, 2.3%]	-0.47 [-1.28, 0.34]	87.9%	0.05 [-0.39, 0.51]	-17.3% [-25.3%, -6.1%]	-3.8% [-4.8%, -2.3%]

Risk Loadings

Factor	MKT	SMB	VAL	MOM	BAB	QMJ	Alpha	R2
Factor__3	-0.16 (-1.94)	-0.17 (-1.60)	-0.18 (-2.07)	0.42 (7.11)	0.52 (2.75)	-0.18 (-1.05)	5.39% (1.74)	0.683
Factor__2	0.32 (2.88)	0.07 (0.56)	0.47 (3.41)	-0.15 (-1.86)	-0.16 (-0.61)	0.09 (0.50)	0.18% (0.07)	0.597
Factor__1	-0.21 (-1.59)	0.37 (7.14)	0.13 (1.79)	0.07 (1.15)	-0.43 (-1.95)	-0.49 (-2.63)	-0.87% (-0.21)	0.718
Factor__4	0.08 (1.39)	0.15 (3.60)	0.10 (1.87)	-0.02 (-0.64)	0.02 (0.38)	0.18 (2.59)	0.02% (0.01)	0.484
Factor__5	0.16 (1.82)	0.07 (0.60)	0.02 (0.14)	-0.17 (-3.95)	-0.12 (-0.53)	-0.01 (-0.09)	-4.87% (-1.38)	0.284

Return Contributions

Factor	MKT	SMB	VAL	MOM	BAB	QMJ	Alpha	Total
Factor__3	-3.54%	0.85%	0.92%	4.22%	-1.33%	1.97%	5.39%	8.48%
Factor__2	7.05%	-0.36%	-2.37%	-1.53%	0.40%	-0.97%	0.18%	2.40%
Factor__1	-4.75%	-1.89%	-0.68%	0.69%	1.10%	5.36%	-0.87%	-1.05%
Factor__4	1.72%	-0.77%	-0.49%	-0.23%	-0.06%	-1.96%	0.02%	-1.77%
Factor__5	3.52%	-0.34%	-0.08%	-1.73%	0.30%	0.12%	-4.87%	-3.07%

1. Factor_3

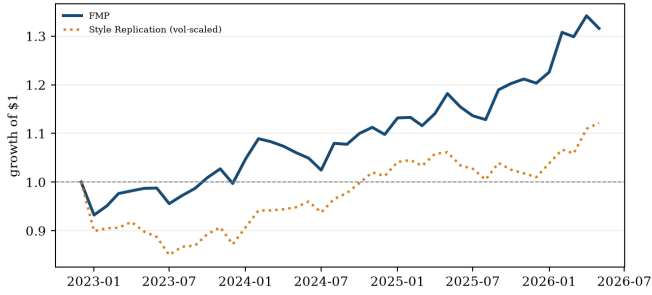


Figure: Common-window cumulative growth of \$1.

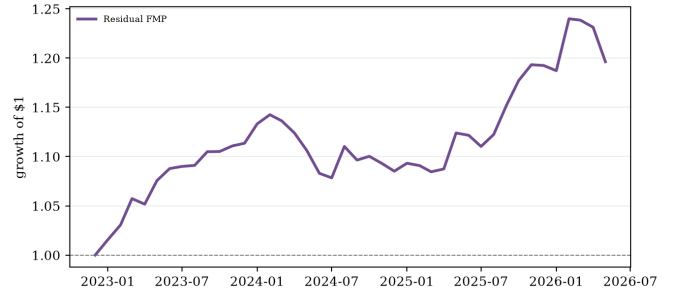


Figure: Cumulative growth after simultaneous control-factor orthogonalisation.

Factor	Ann. ret.	Ann. vol.	Sharpe	HAC t	Max DD	Style R2	Style alpha	Style vol.
Factor_3	8.48%	9.33%	0.91	2.28	-5.93%	0.683	5.34%	9.33%

Factor	MKT	SMB	VAL	MOM	BAB	QMJ	Alpha	R2
Factor_3	-0.16 (-1.94)	-0.17 (-1.60)	-0.18 (-2.07)	0.42 (7.11)	0.52 (2.75)	-0.18 (-1.05)	5.39% (1.74)	0.683

Factor	MKT	SMB	VAL	MOM	BAB	QMJ	Alpha	Total
Factor_3	-3.54%	0.85%	0.92%	4.22%	-1.33%	1.97%	5.39%	8.48%

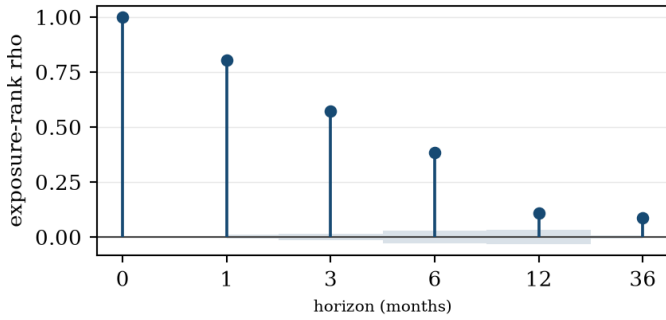


Figure: Exposure-rank ACF; 5% significant only outside the pale HAC band.

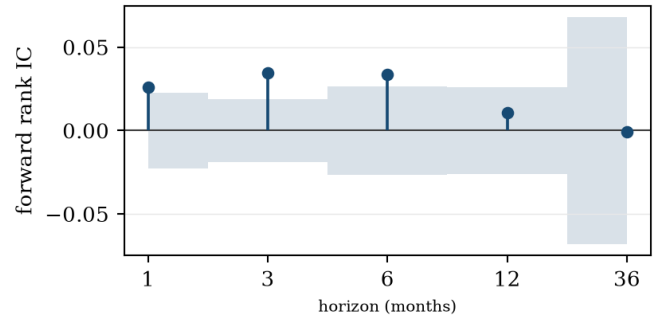


Figure: Exposure-return rank CCF; 5% significant only outside the pale HAC band.

Item	Value
Direction	+1
Common months	41
Signals	Cluster_34(+1), Cluster_55(-1), Cluster_73(+1), Cluster_74(+1), Cluster_75(+1)
Effective construction	rank/rank; 1%-99%; signal_weighted; LS; beta-neutral=True; group=sector; cost=0bp
Components required	3 of 5
Available / comparison months	43 / 41
Available window	2023-01-01 to 2026-07-01
Dropped: low breadth / common	0 / 2
Stocks, min / median / max	2106 / 2547 / 2811
Available-history Sharpe	0.61
Bootstrap Sharpe	0.91 [0.38, 1.46]; Pr(S<=0)=0.1%
Bootstrap tails	skew=-0.06 [-0.66, 0.72]; max DD=-5.9% [-13.3%, -4.5%]

2. Factor_2

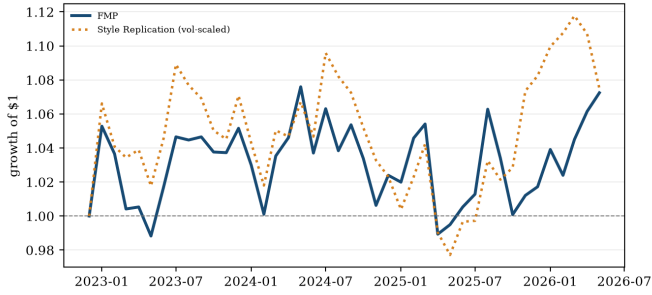


Figure: Common-window cumulative growth of \$1.

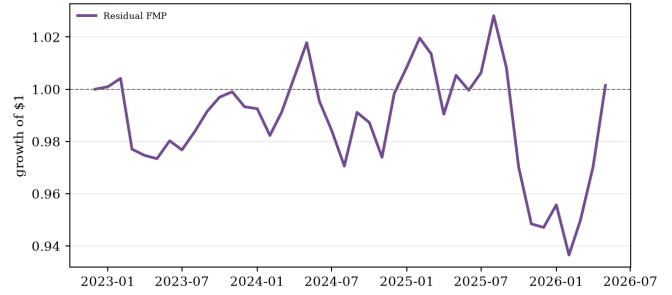


Figure: Cumulative growth after simultaneous control-factor orthogonalisation.

Factor	Ann. ret.	Ann. vol.	Sharpe	HAC t	Max DD	Style R2	Style alpha	Style vol.
Factor_2	2.40%	8.48%	0.28	0.75	-8.05%	0.597	0.50%	8.48%

Factor	MKT	SMB	VAL	MOM	BAB	QMJ	Alpha	R2
Factor_2	0.32 (2.88)	0.07 (0.56)	0.47 (3.41)	-0.15 (-1.86)	-0.16 (-0.61)	0.09 (0.50)	0.18% (0.07)	0.597

Factor	MKT	SMB	VAL	MOM	BAB	QMJ	Alpha	Total
Factor_2	7.05%	-0.36%	-2.37%	-1.53%	0.40%	-0.97%	0.18%	2.40%

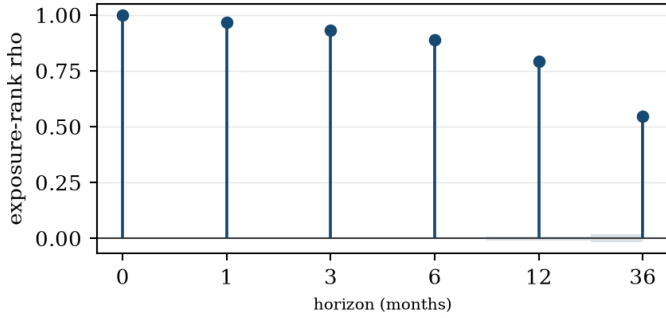


Figure: Exposure-rank ACF; 5% significant only outside the pale HAC band.

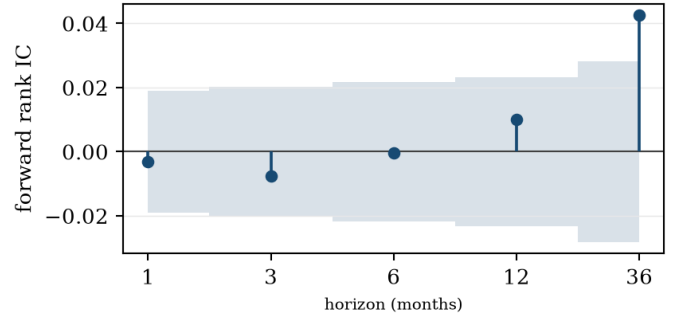


Figure: Exposure-return rank CCF; 5% significant only outside the pale HAC band.

Item	Value
Direction	+1
Common months	41
Signals	Cluster_12(+1), Cluster_13(+1), Cluster_17(+1), Cluster_24(+1), Cluster_26(-1), Cluster_27(-1), Cluster_28(-1), Cluster_35(-1), Cluster_37(-1), Cluster_39(-1), Cluster_43(-1), Cluster_47(+1), Cluster_51(-1), Cluster_57(+1), Cluster_6(-1), Cluster_60(-1), Cluster_67(+1), Cluster_68(+1), Cluster_72(-1), Cluster_8(+1), Cluster_80(-1), Cluster_84(+1), Cluster_85(+1)
Effective construction	rank/rank; 1%-99%; signal_weighted; LS; beta-neutral=True; group=sector; cost=0bp
Components required	14 of 23
Available / comparison months	43 / 41
Available window	2023-01-01 to 2026-07-01
Dropped: low breadth / common	0 / 2
Stocks, min / median / max	2074 / 2431 / 2621
Available-history Sharpe	0.42
Bootstrap Sharpe	0.28 [-0.23, 0.87]; Pr(S<=0)=14.3%
Bootstrap tails	skew=-0.24 [-0.69, 0.32]; max DD=-8.1% [-14.8%, -6.1%]

3. Factor_1

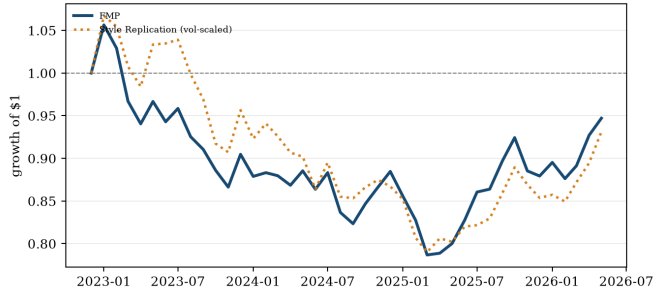


Figure: Common-window cumulative growth of \$1.

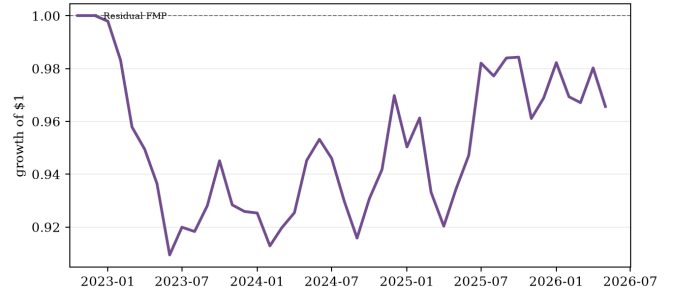


Figure: Cumulative growth after simultaneous control-factor orthogonalisation.

Factor	Ann. ret.	Ann. vol.	Sharpe	HAC t	Max DD	Style R2	Style alpha	Style vol.
Factor_1	-1.05%	10.51%	-0.10	-0.19	-25.53%	0.715	0.26%	10.51%

Factor	MKT	SMB	VAL	MOM	BAB	QMJ	Alpha	R2
Factor_1	-0.21 (-1.59)	0.37 (7.14)	0.13 (1.79)	0.07 (1.15)	-0.43 (-1.95)	-0.49 (-2.63)	-0.87% (-0.21)	0.718

Factor	MKT	SMB	VAL	MOM	BAB	QMJ	Alpha	Total
Factor_1	-4.75%	-1.89%	-0.68%	0.69%	1.10%	5.36%	-0.87%	-1.05%

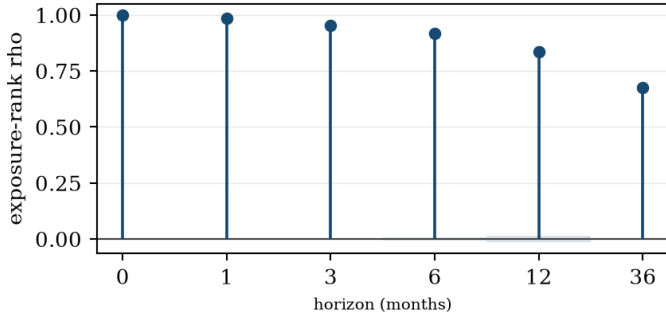


Figure: Exposure-rank ACF; 5% significant only outside the pale HAC band.

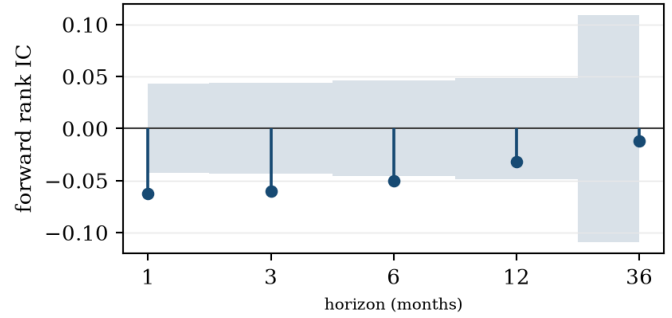


Figure: Exposure-return rank CCF; 5% significant only outside the pale HAC band.

Item	Value
Direction	+1
Common months	41
Signals	Cluster_1(+1), Cluster_10(+1), Cluster_11(+1), Cluster_14(-1), Cluster_15(+1), Cluster_16(-1), Cluster_18(-1), Cluster_19(-1), Cluster_2(+1), Cluster_20(-1), Cluster_21(-1), Cluster_22(-1), Cluster_23(-1), Cluster_25(-1), Cluster_29(-1), Cluster_3(+1), Cluster_32(-1), Cluster_36(-1), Cluster_38(+1), Cluster_4(-1), Cluster_40(+1), Cluster_41(-1), Cluster_44(-1), Cluster_45(+1), Cluster_48(-1), Cluster_49(-1), Cluster_5(-1), Cluster_50(-1), Cluster_58(+1), Cluster_59(-1), Cluster_61(-1), Cluster_63(-1), Cluster_64(-1), Cluster_66(+1), Cluster_69(-1), Cluster_76(-1), Cluster_77(-1), Cluster_79(+1), Cluster_81(+1), Cluster_82(+1), Cluster_83(-1), Cluster_9(-1)
Effective construction	rank/rank; 1%-99%; signal_weighted; LS; beta-neutral=True; group=sector; cost=0bp
Components required	26 of 42
Available / comparison months	43 / 41
Available window	2023-01-01 to 2026-07-01
Dropped: low breadth / common	0 / 2
Stocks, min / median / max	2093 / 2500 / 2723
Available-history Sharpe	-0.40
Bootstrap Sharpe	-0.10 [-0.96, 0.75]; Pr(S<=0)=61.3%
Bootstrap tails	skew=-0.08 [-0.54, 0.39]; max DD=-25.5% [-33.0%, -11.1%]

4. Factor_4

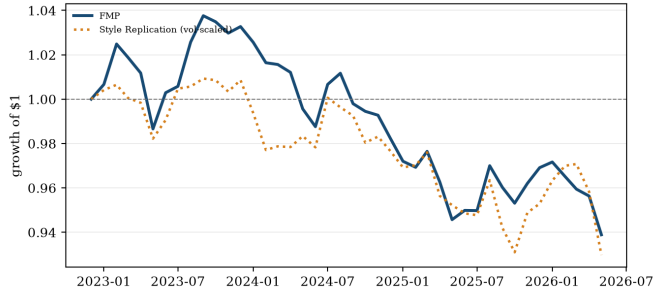


Figure: Common-window cumulative growth of \$1.

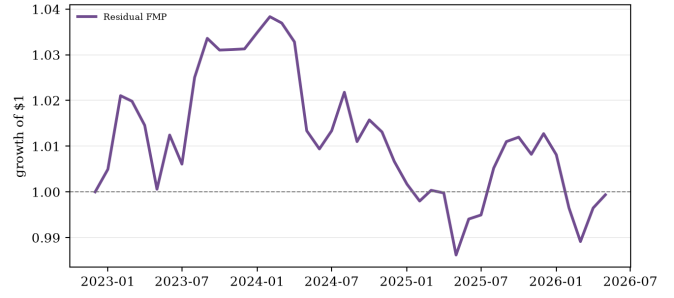


Figure: Cumulative growth after simultaneous control-factor orthogonalisation.

Factor	Ann. ret.	Ann. vol.	Sharpe	HAC t	Max DD	Style R2	Style alpha	Style vol.
Factor_4	-1.77%	3.83%	-0.46	-0.94	-9.51%	0.480	-0.35%	3.83%

Factor	MKT	SMB	VAL	MOM	BAB	QMJ	Alpha	R2
Factor_4	0.08 (1.39)	0.15 (3.60)	0.10 (1.87)	-0.02 (-0.64)	0.02 (0.38)	0.18 (2.59)	0.02% (0.01)	0.484

Factor	MKT	SMB	VAL	MOM	BAB	QMJ	Alpha	Total
Factor_4	1.72%	-0.77%	-0.49%	-0.23%	-0.06%	-1.96%	0.02%	-1.77%

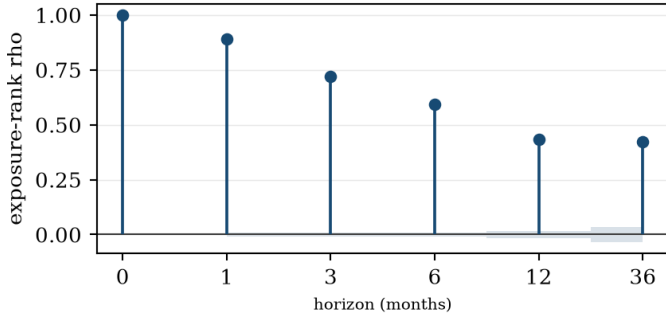


Figure: Exposure-rank ACF; 5% significant only outside the pale HAC band.

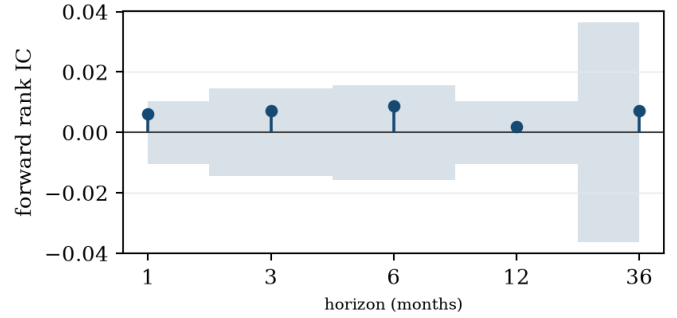


Figure: Exposure-return rank CCF; 5% significant only outside the pale HAC band.

Item	Value
Direction	+1
Common months	41
Signals	Cluster_30(-1), Cluster_31(+1), Cluster_42(+1), Cluster_46(-1), Cluster_54(-1), Cluster_62(-1), Cluster_65(+1)
Effective construction	rank/rank; 1%-99%; signal_weighted; LS; beta-neutral=True; group=sector; cost=0bp
Components required	5 of 7
Available / comparison months	43 / 41
Available window	2023-01-01 to 2026-07-01
Dropped: low breadth / common	0 / 2
Stocks, min / median / max	2044 / 2424 / 2591
Available-history Sharpe	-0.08
Bootstrap Sharpe	-0.46 [-1.29, 0.20]; Pr(S<=0)=91.8%
Bootstrap tails	skew=0.34 [-0.09, 0.86]; max DD=-9.5% [-15.0%, -4.7%]

5. Factor_5

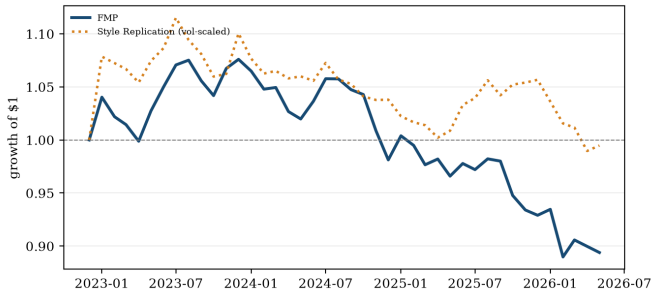


Figure: Common-window cumulative growth of \$1.

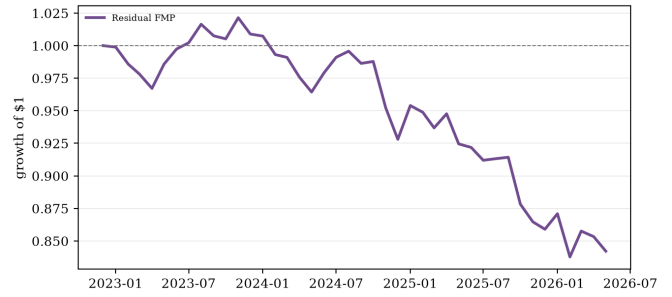


Figure: Cumulative growth after simultaneous control-factor orthogonalisation.

Factor	Ann. ret.	Ann. vol.	Sharpe	HAC t	Max DD	Style R2	Style alpha	Style vol.
Factor_5	-3.07%	6.47%	-0.47	-1.01	-17.31%	0.261	-3.10%	6.47%

Factor	MKT	SMB	VAL	MOM	BAB	QMJ	Alpha	R2
Factor_5	0.16 (1.82)	0.07 (0.60)	0.02 (0.14)	-0.17 (-3.95)	-0.12 (-0.53)	-0.01 (-0.09)	-4.87% (-1.38)	0.284

Factor	MKT	SMB	VAL	MOM	BAB	QMJ	Alpha	Total
Factor_5	3.52%	-0.34%	-0.08%	-1.73%	0.30%	0.12%	-4.87%	-3.07%

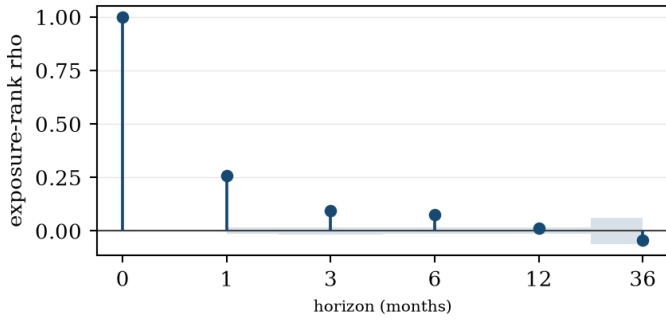


Figure: Exposure-rank ACF; 5% significant only outside the pale HAC band.

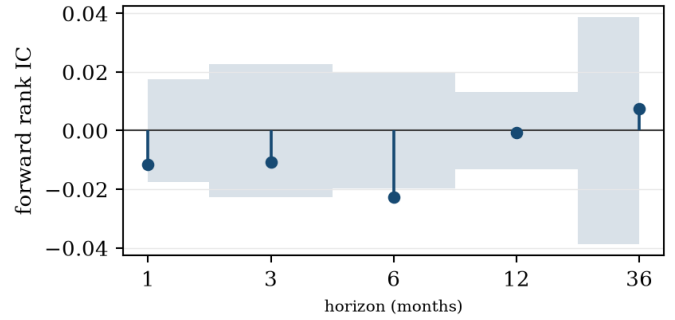


Figure: Exposure-return rank CCF; 5% significant only outside the pale HAC band.

Item	Value
Direction	+1
Common months	41
Signals	Cluster_33(-1), Cluster_52(+1), Cluster_7(-1), Cluster_71(-1)
Effective construction	rank/rank; 1%-99%; signal_weighted; LS; beta-neutral=True; group=sector; cost=0bp
Components required	3 of 4
Available / comparison months	43 / 41
Available window	2023-01-01 to 2026-07-01
Dropped: low breadth / common	0 / 2
Stocks, min / median / max	2106 / 2547 / 2811
Available-history Sharpe	-0.17
Bootstrap Sharpe	-0.47 [-1.28, 0.34]; Pr(S<=0)=87.9%
Bootstrap tails	skew=0.05 [-0.39, 0.51]; max DD=-17.3% [-25.3%, -6.1%]

Reproducibility

Run ID: 20260905T173256Z_frozen-grouped-factor-model-oos-2023_b5fa943489.

Gold snapshot: version=20260829T051952Z.

Configuration hash: b5fa943489.

Symbols requested / loaded: 0 / 3595.

Seed: 0. Comparison months: 41, 2023-01-01 to 2026-05-01.

Command:

C:/Users/User/Desktop/alpha/.venv/Scripts/python.exeC:/Users/User/Desktop/alpha/src/experiments/automatic_factor_grouping/handoff.py--source-rundata/outputs/automatic_factor_grouping/cluster_only/20260904T153343Z_00c1348dc7.

Direction is frozen upstream; this report performs no return-based sign selection. The reported direction is applied consistently before every downstream regression, style calculation, plot, table, PCA coordinate, and index assignment. The run directory contains the source configuration, normalized configuration, manifest, canonical tables, monthly returns, PCA coordinates, plots, report source, and PDF.